

Absolute Impact 2026

Investors must rapidly come to grips with climate-related risk on multiple fronts. As average global temperature rise approaches 1.5°C, the physical impacts of climate change are increasingly apparent—with significant costs to investment portfolios and the economy. Meanwhile, the 2026 energy crisis is further incentivising the global shift to clean energy systems on economic and energy security grounds—weakening the long-term investment outlook for fossil fuels.

Against this backdrop, investors must be able to decipher which oil and gas companies aim to be compatible with a future energy system vastly different to the status quo. An oil and gas emissions target analysis provides decision-useful information for both climate and financial risk perspectives.

The *Absolute Impact* series uses Carbon Tracker's *Hallmarks of Paris-Aligned Emissions Targets* framework (Box 1) to assess the emissions targets of some of the world's largest oil and gas companies.

BOX 1. HALLMARKS OF PARIS-ALIGNED EMISSIONS TARGETS

Oil and gas company emissions targets should satisfy the following four *Hallmarks*, at a minimum, to potentially be considered Paris-aligned:

1. Cover full lifecycle GHG emissions, including scope 1, 2, and end-use 3 emissions.
2. Target net-zero GHG emissions by 2050, with interim absolute reductions, across full lifecycle emissions.
3. Cover GHG emissions from production and global product sales on a full equity share basis (including downstream product sales produced using third-party crude).
4. Target near-zero methane by 2030 on a full equity share basis across upstream activities, as well as midstream gas assets where applicable.

Carbon Tracker's 2026 analysis of oil and gas company emissions targets covers 20 majority publicly traded or privately owned companies, 5 majority state-owned companies, and 5 wholly state-owned companies. As in previous years, the company universe excludes all companies based in Russia and Iran due to Western sanctions in place. Carbon Tracker assessed emissions reduction goals publicly disclosed by companies as of 17 April 2026.¹

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¹ Analysis updated 1 May 2025 to include company report disclosures not yet reflected on company websites.

Emissions targets continue to fall short of potential Paris alignment

As in recent years, no companies in Carbon Tracker's oil and gas company universe have GHG emission reduction goals that are potentially aligned with the goals of the Paris Agreement (Table 1). Box 2 summarises emission target changes since Q4 2024.

Most (>75%) companies' GHG goals **continue to exclude scope 3 GHG emissions**, a category that accounts for the vast majority (~85%) of full lifecycle oil & gas GHG emissions due to high emissions associated with end use. GHG emission goals continue to miss the full value chain, excluding potentially significant sources of emissions. Coverage of non-operated assets and crude oil purchased from third parties remains patchy across overarching GHG emissions goals.

Only a handful of companies now lack goals to reach near-zero methane emissions by 2030. However, in all but one case, the near-zero goals remain confined to operated assets only, overlooking significant production volumes at non-operated joint ventures.

Moreover, a number of companies' methane targets for operated assets are limited to a particular geography, omitting their presence in other parts of the world. A majority of producers also lack methane targets covering their midstream gas assets, despite the significant methane emissions that occur in this part of the value chain and the strong targets adopted by many midstream-only companies.

Companies continue to use a wide array of different methane target designs, with inconsistent numerators and denominators, making precise benchmarking extremely difficult. Where companies express methane in CO₂-equivalent terms, they continue to use the 100-year Global Warming Potential 100 (GWP100) metric, significantly underestimating the warming impact of methane over the coming decades.

Three Canadian companies and EOG are the only majority-publicly owned companies in our universe to lack any goals to reach near-zero methane emissions by 2030. Several national oil companies (NOCs) similarly lack such goals.

BOX 2. EMISSION TARGET UPDATES SINCE Q4 2024

The most notable emissions goal changes have occurred at TotalEnergies, bp, and Eni. Their rollback of full lifecycle goals points to an ongoing strategic reliance on oil and gas, warranting examination into how the companies will create value under scenarios of declining demand for oil and gas:

- In 2026, TotalEnergies eliminated its 2050 net-zero goal for scope 3 emissions.
- In 2025, bp eliminated its Net-Zero Production goal, which had aimed to reduce scope 3 emissions on an absolute basis by 2030.
- In 2026, Eni eliminated its 2030 absolute goal for full lifecycle emissions, like bp in 2025.

More minor changes to 2030 GHG goals occurred at ConocoPhillips, Saudi Aramco, Oxy, EOG (slight improvements) and Equinor (slight weakening).

Most major oil & gas producers have committed to ambitious near-term methane reduction targets, with more targets set since our analysis at the end of 2024.

In terms of long-term emissions goals, Chevron, ConocoPhillips and EOG no longer set a specific year for their scope 1 and 2 net-zero GHG aim. Conoco and EOG, for instance, endeavour to achieve this aim sometime in the second half of the 21st century, similar to Sonatrach.

TABLE 1: ASSESSMENT OF COMPANIES' EMISSIONS GOALS AGAINST CARBON TRACKER'S HALLMARKS OF PARIS-ALIGNED EMISSIONS TARGETS, COMPANIES IN ALPHABETICAL ORDER.

Company	Hallmark 1	Hallmark 2		Hallmark 3		Hallmark 4			Potentially Paris-aligned
	Scope 3 emissions	Scope 1, 2, 3 net zero	2030 absolute goal	Full equity share	3rd-party crude	Near zero by 2030	Full equity share	Mid-stream gas	
ADNOC									
Antero									
bp									
Cenovus					n/a			n/a	
Chevron									
CNOOC					n/a			n/a	
CNRL					n/a			n/a	
ConocoPhillips					n/a				
Coterra					n/a				
Devon					n/a				
Diamondback								n/a	
Eni									
EOG					n/a			n/a	
EQT					n/a				
Equinor									
Expand					n/a				
ExxonMobil									
KPC									
Ovintiv					n/a			n/a	
Oxy					n/a				
Pemex									
Petrobras									
PetroChina									
PETRONAS									
QatarEnergy									
SaudiAramco									
Shell									
Sonatrach									
Suncor								n/a	
TotalEnergies									

Source: Company disclosures, Carbon Tracker analysis.

Notes: Green indicates "Yes", red indicates "No". N/a in "3rd-party crude" column indicates that the company does not have Downstream oil operations; N/a in "Midstream gas" column indicates that the company does not produce a material volume of gas or does not have any Midstream activities.

European majors continue to outrank peers, while Canadian companies sink to the bottom

Table 2 shows Carbon Tracker's ranking of oil and gas company emissions targets (see [Absolute Impact 2024](#) for ranking methodology). The **European majors and Oxy lead overall**, as their long-term goals address scope 3 GHG emissions. However, their goals **come up short in key areas**. Following Eni, TotalEnergies, and bp's backtracking on full lifecycle emissions goals, no companies have both full lifecycle 2050 net-zero goals and full lifecycle 2030 absolute goals. Absolute interim reductions are essential to ensure companies track towards longer-term GHG emissions reductions.

Many NOCs, such as Saudi Aramco, KPC, Sonatrach, and CNOOC, rank poorly compared to peers, lacking near-term GHG emissions goals, year-bound long-term goals, and/or complete coverage of assets.

Disclosure of GHG goals remains an issue among the three Canadian companies in our company universe. These companies removed public disclosures of GHG emissions goals following the 2024 passage of amendments to the *Competition Act* that aim to address deceptive or misleading advertising, and they have not publicly replaced them. Investors have limited visibility into whether these companies maintain their previously disclosed GHG emissions goals.

TABLE 2: RELATIVE RANKING OF EMISSIONS GOALS, PER CARBON TRACKER METHODOLOGY.

Rank	Company	Hallmark 1	Hallmark 2		Hallmark 3		Hallmark 4 ⁶			Scale		Potentially Paris-aligned
		Scope 3 emissions	Scope 1, 2, 3 net zero	2030 absolute goal	Full equity share	3rd-party crude	Near zero by 2030	Full equity share	Mid-stream gas	Scope 1, 2 & 3 2030 absolute GHG reduction	Scope 1 & 2 net zero year	
1	Shell	Yes	Yes	-	Yes	Yes	Yes	-	Yes	-	2050	-
2	Equinor	Yes	Yes	-	Yes	-	Yes	-	Yes	-	2050	-
3	bp	Yes	Yes	-	Yes	Yes	Yes	-	-	-	2050	-
4	Eni	Yes	Yes	-	Partial ¹	-	Yes	-	-	-	2050	-
5	Oxy	Yes	Yes	-	-	n/a	Yes	-	-	-	2050	-
6	TotalEnergies	Yes	-	Yes	Partial ¹	Yes	Yes	-	Yes	-	2050 ⁹	-
7	Chevron	Yes	-	-	Yes	Yes	Yes	Yes	-	-	- ⁷	-
8	Expand	-	-	-	-	n/a	Yes	-	Yes	-	2035	-
9	Petrobras	-	-	-	-	-	Yes	-	-	-	2050	-
10	PETRONAS	-	-	-	-	-	Partial ²	-	Yes	-	2050	-
11	Antero	-	-	-	- ³	n/a	Yes	-	-	-	2025	-
12	Devon	-	-	-	-	n/a	Yes	-	-	-	2050	-
13	Pemex	-	-	-	-	-	-	-	Yes	-	2050	-
14	Conoco	-	-	-	Yes	n/a	Yes	-	-	-	- ⁷	-
15	ADNOC	-	-	-	-	-	Yes	-	Yes	-	2045	-
16	ExxonMobil	-	-	-	-	-	Yes	-	Yes	-	2050	-
17	Diamondback	-	-	-	-	-	Yes	-	n/a	-	2021 ⁸	-
18	Ovintiv	-	-	-	-	n/a	Yes	-	n/a	-	-	-
19	EOG	-	-	-	-	n/a	Partial ²	-	n/a	-	- ⁷	-
20	PetroChina	-	-	-	-	-	Yes	-	-	-	2050	-
21	QatarEnergy	-	-	-	-	-	Partial ²	-	Yes	-	-	-
22	Coterra	-	-	-	-	n/a	Yes	-	-	-	-	-
23	EQT	-	-	-	- ³	n/a	Yes	-	-	-	2025	-
24	SaudiAramco	-	-	-	- ⁴	-	Yes	-	-	-	2050	-
25	KPC	-	-	-	- ⁴	-	-	-	-	-	2050	-
26	Sonatrach	-	-	-	-	-	Yes	-	-	-	-	-
27	CNOOC	-	-	-	-	n/a	Partial ²	-	n/a	-	-	-
=28	Suncor ⁵	-	-	-	-	-	-	-	-	-	-	-
=28	Cenovus ⁵	-	-	-	-	-	-	-	-	-	-	-
=28	CNRL ⁵	-	-	-	-	-	-	-	-	-	-	-

Sources: Company Disclosures, CTI Analysis.

Notes: 1 Eni's full lifecycle goal covers scope 1 and 2 GHG emissions on a financial control basis and scope 3 GHG emissions on an equity share basis. TotalEnergies' goals cover scope 1 and 2 on an operated basis and scope 3 on an equity share basis. 2 Partial near-zero methane indicates the near-zero methane target covers some (but not all) of the company's operated oil & gas production. 3 Antero's scope 1 and 2 net zero goal does not cover HG assets acquired in Feb. 2026. EQT's goals do not cover Equitrans Midstream Corporation acquired in 2024. 4 SaudiAramco's and KPC's goals cover only wholly owned/operated assets. 5 Canadian companies have removed publicly available disclosures of emissions targets. 6 Hallmark 4 assesses methane-specific goals, in contrast to Hallmarks 1-3, which assess overall GHG goals. 7 Conoco and EOG aim for net-zero scope 1 and 2 GHG emissions but have eliminated a target year for achieving this goal. 8 Diamondback's net-zero goal is limited to scope 1 GHG emissions. 9 TotalEnergies characterises its 2050 scope 1 and 2 goal as a "carbon neutrality" rather than a "net-zero" goal.

The credibility of strategies to deliver overall GHG emission reductions remains questionable

Within our company universe, all companies with a scope 3 GHG goal plan to use carbon capture, utilisation, and storage (CCUS) technologies to mitigate at least a portion of emissions. CCUS has not been proven commercially viable at scale and carries risk of technical failure, calling into question whether it will plausibly deliver extensive scope 3 GHG reductions. Many of these companies do not disclose the extent of their planned reliance on CCUS, providing limited visibility into potential costs and the climate alignment of their emissions reduction strategy.

Most companies with scope 3 GHG goals also plan to use nature-based solutions (NBS) to help mitigate emissions. In general, NBS face biosphere constraints in terms of the volume of carbon dioxide they can sequester on a long-term basis.

Certain companies (Antero, Diamondback, EQT) claim to have already reached (or shortly reach) net-zero operational emissions. However, these claims often rely significantly on carbon offsets, some of which risk failing to permanently sequester the full amount of carbon.

Companies have shown progress on methane reporting and reduction approaches, but notable gaps remain

Given the essential role of accurate methane measurement in ensuring real-world reductions, Carbon Tracker considers a “Gold Standard Pathway” assessment by the UN-led Oil & Gas Methane Partnership (OGMP) 2.0 as our first criterion for methane reduction credibility. Most listed companies are engaging with the OGMP, which seeks to increase direct methane measurement and move away from flawed reporting based on generic emission factors. There have been improvements in the past year, as companies progress from being on a “Gold Standard Pathway” to “Gold Standard Reporting”.

However, many NOCs and North American producers continue to remain disengaged, including all major Canadian producers. Diamondback was previously on a Gold Standard Pathway but has lost this status in the past year. QatarEnergy had a pathway status two years ago, lost it last year and has still not regained it. Chevron stands out as the only major that is a member of OGMP 2.0 but not on either Gold Standard Pathway or Reporting.

Moreover, Gold Standard Reporting status does not indicate that the company is directly measuring all material operated and non-operated assets (Level 5 reporting). Only 7% of global production was considered to be at Level 5 in 2024, though this could reach 28% by 2030 on the basis of companies’ current plans².

Carbon Tracker counts a company’s commitment to eliminate routine flaring as our second criterion for methane reduction credibility. Nearly all companies have targets to eliminate routine flaring by 2030 or sooner. However, these targets are confined to operated assets, ignoring flaring at non-operated joint ventures. They also overlook non-routine flaring, which increasingly accounts for a much larger share of companies’ flaring activity.

² OGMP, [OGMP 2.0 Level 5 Assessment](#) (March 2026).